



Digital Sovereignty on the Microsoft Azure Cloud



Who am I?



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What is Digital Sovereignty?



Control over data: Ensuring that a nation or organization decides *where data is stored, who can access it, and under which laws* it is governed.



Independence of technology: Reducing dependency on foreign cloud providers and being able to switch, audit, or run workloads on one's own terms.



Trust and compliance: Guaranteeing that cloud operations meet local legal, security, and privacy requirements, *even when using global cloud infrastructure*.



**Trump's return revived
U.S. – EU tension over data
control**



Are the concerns legit?

Sovereign cloud switch



Lucas Jellema

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5 min



24



1

The relevance of IT for organizations around IT include the risk of access to data and systems. If an organization is threatened by relevant precedent: it could resume suspended cloud services after



Microsoft Outlook - Credit: monticello / DepositPhotos - License: DepositPhotos

BUSINESS TECH INTERNATIONAL CRIMINAL COURT ICC MICROSOFT DONALD TRUMP
• MORE TAGS

TUESDAY, 20 MAY 2025 - 09:15

Microsoft's ICC email block triggers Dutch concerns over dependence on U.S. tech

Microsoft's recent decision to block access to the email account of International Criminal Court (ICC) Chief Prosecutor Karim Khan is raising urgent questions in the Netherlands about the country's deep reliance on American technology companies, [de Volkskrant](#) reports. The move followed U.S. President Donald Trump's [sanctions against the ICC](#)—an escalation triggered by arrest warrants targeting, among others, Israeli Prime Minister Benjamin Netanyahu.

The blocked access, enforced by Microsoft, means Khan can no longer read messages sent to his official account. The decision, directly tied to U.S. foreign policy, reportedly underscores the vulnerability of Dutch public institutions that depend on American tech infrastructure. The incident has reignited political debate about the extent to which the Netherlands can—and should—continue relying on Microsoft.

Brad Smith
and the company's
—and respect



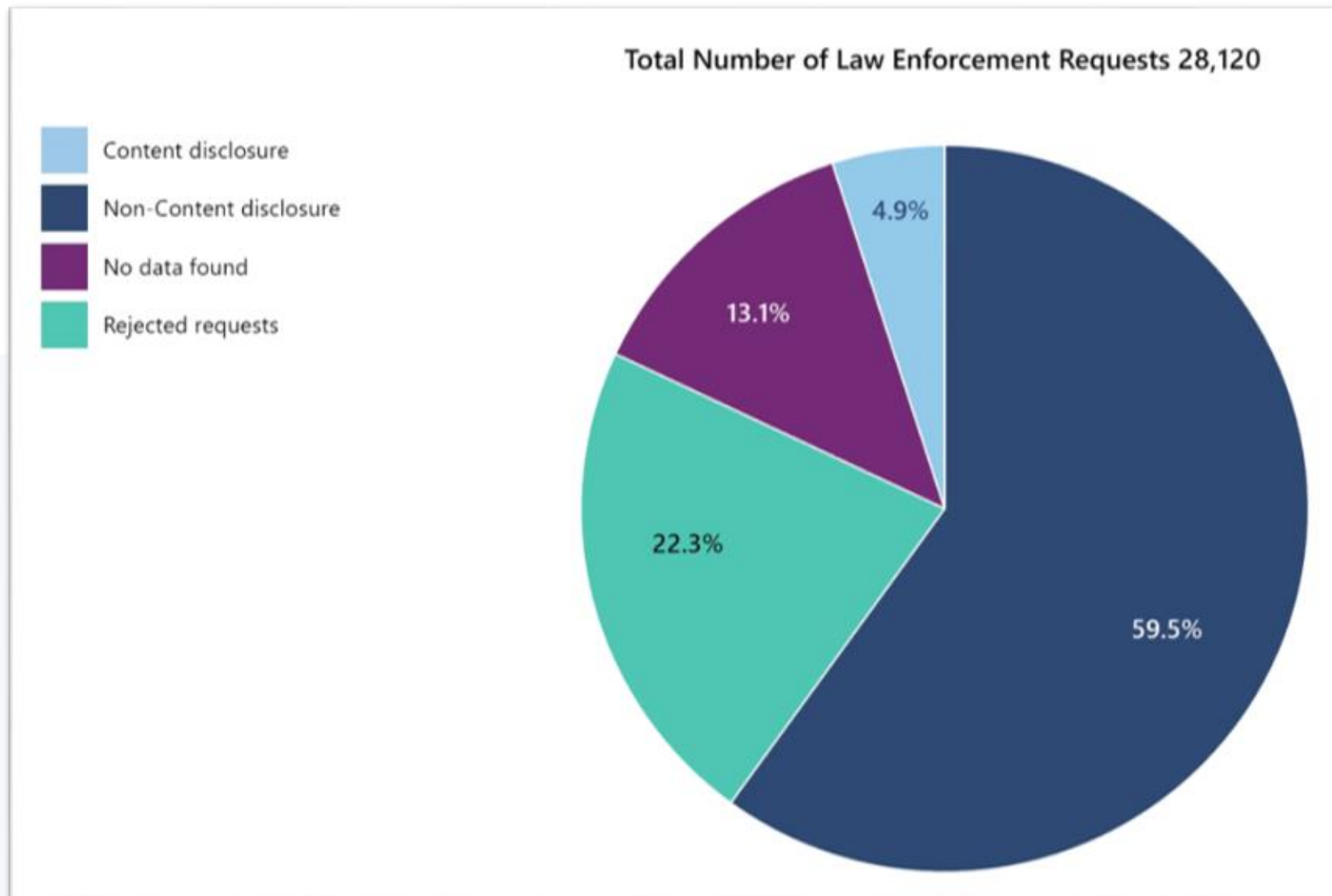
WEDNESDAY, 12 NOVEMBER 2025 - 09:35

Dutch governments caught off guard by American tech firm buying Dutch cloud company

Dutch government bodies were unpleasantly surprised by news that an American tech firm has acquired the Dutch cloud company Solvinity, the Financieele Dagblad [reported](#). Several governments opted for working with Solvinity precisely to reduce dependence on American technology firms.

Solvinity works primarily for Dutch government bodies and provides cloud services. The company is involved in managing DigiD and MijnOverheid, among other things. It also provides secure internet access to the Ministry of Justice and Security. The municipality of Amsterdam recently partnered with Solvinity, partly because it wasn't in American hands. The Dutch Gambling Authority is also a client.

Data requests – Consumer Data



Data requests – Consumer Data

Law Enforcement Requests Report 2024

Requests received for all Microsoft Services from July to December 2024

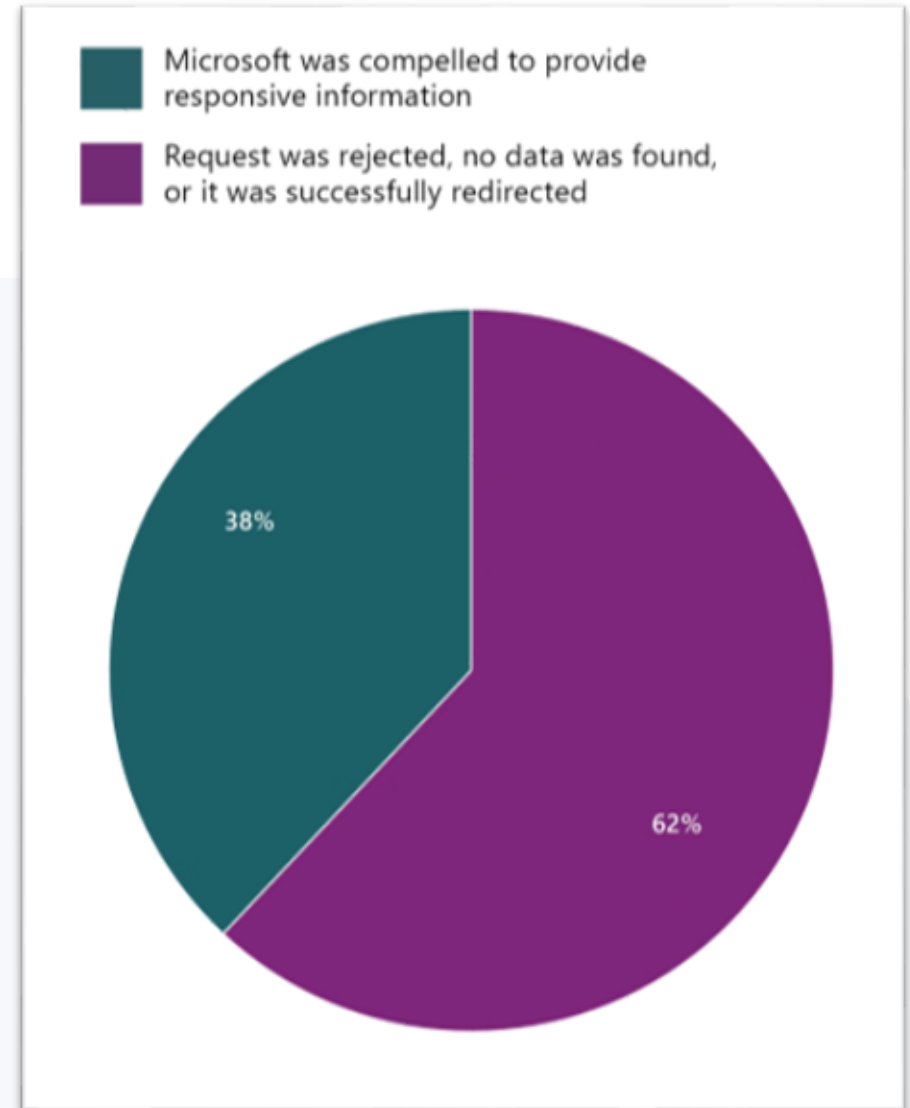
Note: Pending Requests included upon completion

	Total Requests		Some Customer Data Disclosed				No Customer Data Disclosed			
	Total Number of Law Enforcement Requests	Accounts / Users Specified in Requests	Law Enforcement Requests Resulting in Disclosure of Content	Law Enforcement Requests Resulting in Disclosure of Only Subscriber/Transactional (Non-Content) Data	Law Enforcement Requests Resulting in Disclosure of Only Content Data	Law Enforcement Requests Resulting in Disclosure of Only Metadata	Law Enforcement Requests Resulting in Disclosure of No Customer Data (No Content, No Metadata)	Law Enforcement Requests Resulting in Disclosure of No Customer Data (Request for Content, Metadata)	Law Enforcement Requests Resulting in Disclosure of No Customer Data (Request for Content, Metadata)	Law Enforcement Requests Resulting in Disclosure of No Customer Data (Request for Content, Metadata)
	#	#	%	#	%	#	%	#	%	#
TOTAL	28,120	52,335	4.94%	1,388	59.57%	###	13.14%	3695	22.35%	6286
Argentina	219	224	0.00%	-	56.62%	124	13.70%	30	29.68%	65
Australia	682	967	0.00%	-	71.99%	491	14.08%	96	13.93%	95
Austria	363	673	0.00%	-	80.72%	293	12.40%	45	6.89%	25
Belgium	331	456	0.00%	-	73.72%	244	16.01%	53	10.27%	34
Brazil	2,623	5,084	16.32%	428	32.60%	855	6.86%	180	44.22%	1,160
Canada	295	356	0.00%	-	59.66%	176	6.78%	20	33.56%	99
Finland	78	199	0.00%	-	74.36%	58	17.95%	14	7.69%	6
France	1,944	2,052	0.00%	-	56.02%	1,089	19.91%	387	24.07%	468
Germany	5,296	9,835	0.00%	-	58.14%	3,079	10.82%	573	31.04%	1,644
Greece	77	76	0.00%	-	38.96%	30	12.99%	10	48.05%	37
Hungary	29	37	0.00%	-	55.17%	16	6.90%	2	37.93%	11
India	1,833	2,388	0.00%	-	44.95%	824	20.08%	368	34.97%	641
Ireland	100	129	49.00%	49	21.00%	21	17.00%	17	13.00%	13
Israel	13	29	0.00%	-	61.54%	8	15.38%	2	23.08%	3
Italy	316	357	0.00%	-	27.53%	87	20.89%	66	51.58%	163
Japan	308	582	0.00%	-	71.43%	220	8.12%	25	20.45%	63
Latvia	1	2	0.00%	-	100.00%	1	0.00%	-	0.00%	-
Lithuania	22	13	0.00%	-	31.82%	7	13.64%	3	54.55%	12
Luxembourg	4	2	0.00%	-	25.00%	1	25.00%	1	50.00%	2
Macedonia	1	-	0.00%	-	0.00%	-	0.00%	-	100.00%	1
Malta	44	69	0.00%	-	86.36%	38	6.82%	3	6.82%	3
Mexico	123	180	0.00%	-	51.22%	63	4.88%	6	43.90%	54
Monaco	1	1	0.00%	-	100.00%	1	0.00%	-	0.00%	-
Netherlands	165	239	0.61%	1	75.15%	124	8.48%	14	15.76%	26
New Zealand	8	9	0.00%	-	37.50%	3	0.00%	-	62.50%	5

Data requests – Enterprise Customer Data

Law Enforcement Requests (H2 2024)

- **173** total requests worldwide for enterprise cloud accounts
- **62%** (107) **denied / withdrawn / no data / redirected to customer**
- **38%** (66) required disclosure:
 - **26** content disclosures (20 to **U.S.** law enforcement)
 - **40** non-content disclosures (e.g., subscriber info, IP logs)
- **No Azure customer data** was disclosed
- **No Dynamics 365 data** disclosed
- 5 non-U.S. customers had data disclosed to U.S. law enforcement (data stored outside the U.S.; not EU/EFTA)

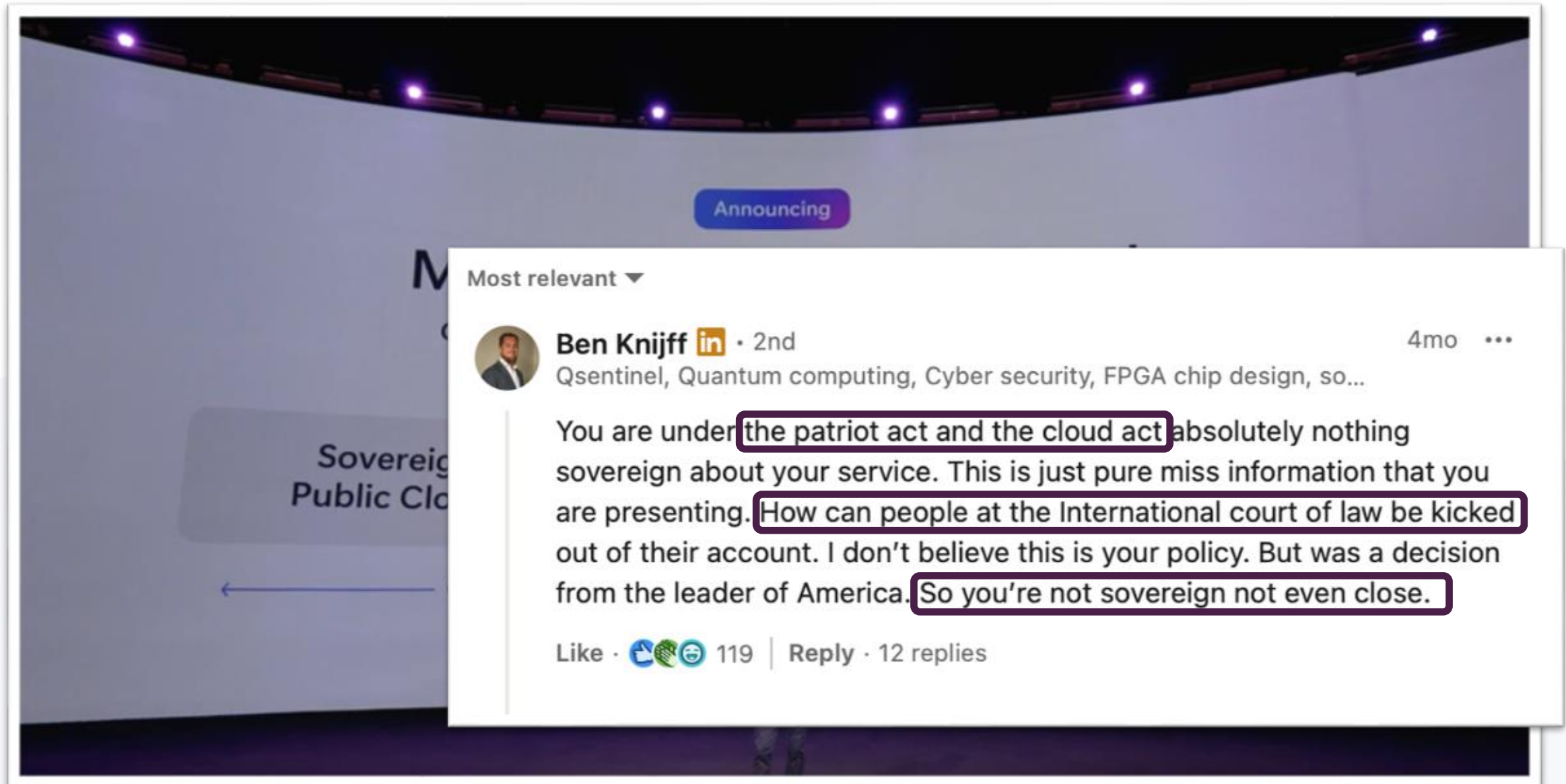


Microsoft's Five European Digital Commitments

April 30, 2025 — Brad Smith, Vice Chair & President

1. We will help build a broad AI and cloud ecosystem across Europe.
 1. Increase our European datacenter capacity by 40%
 2. Public cloud datacenters → Microsoft Cloud for Sovereignty
 3. National Partner Clouds → e.g. hosted in German datacenters and operated by German personnel
2. We will uphold Europe's digital resilience even when there is geopolitical volatility.
 1. Services to be delivered through European-legal entities; datacenter boards staffed by Europeans.
 2. Microsoft commits to legally challenge any order forcing shutdown of European operations
3. We will continue to protect the privacy of European data.
 1. Technology options: customer-controlled encryption keys, confidential compute, lockbox review before Microsoft support access.
4. We will always help protect and defend Europe's cybersecurity.
 1. Appointment of a new Deputy CISO for Europe; increased resources for upcoming EU laws like DORA, NIS 2, Cyber Resilience Act.
5. We will help strengthen Europe's economic competitiveness, including for open source.
 1. Microsoft AI Access Principles: open APIs, support for European open-source models, interoperability.

Microsoft Sovereign Cloud



U.S. Regulations behind the risk

01

Cloud Act (Clarifying
Lawful Overseas Use of Data
Act):

Data access even if
stored abroad

02

Patriot Act:
National Security
Letters

03

FISA (Foreign Intelligence
Surveillance Act)

Section 702:
Foreign intelligence
collection

European Counterweights

01

GDPR: Strict data transfer rules

02

E-Evidence
Regulation: EU
process for data
access

03

National Laws:
Sleepwet,
Computer Crime
Act III

The Gap



European law protects privacy



U.S. law compels access



< ... < News and media < News

NEWS ARTICLE | 10 October 2025 | Directorate-General for Digital Services | 1 min read

The Commission moves forward on cloud sovereignty with a EUR 180 million tender

Launched as a competition under the [Cloud III Dynamic Purchasing System](#) (Cloud III DPS), the tender will allow EU institutions, bodies, offices and agencies to procure sovereign Cloud services over 6 years. The tender establishes a benchmark for how sovereignty is applied in practice to cloud services.

Up to four providers, registered in the Cloud III DPS, will be awarded a contract under a new [Cloud Sovereignty Framework](#). This framework measures sovereignty across eight concrete objectives. These objectives include strategic, legal, operational, and environmental considerations, as well as supply chain transparency, technological openness, security, and compliance to EU laws. By setting minimum assurance levels for each, the Commission creates a level playing field where cloud providers active on the EU market can demonstrate their sovereignty strengths. It drives the entire sector towards compliance with European standards and values.

EU: Cloud Sovereignty Objectives

Strategic Sovereignty – EU ownership, governance, and alignment with European strategic priorities.

Legal & Jurisdictional Sovereignty – Protection from non-EU legal reach; services governed under EU law.

Data & AI Sovereignty – Full control of data location, access, and AI operations within EU boundaries.

Operational Sovereignty – Ability for EU entities to run and maintain services independently of non-EU vendors.

Supply Chain Sovereignty – Transparency and EU control over hardware, software, and component origins.

Technology Sovereignty – Open, auditable, and interoperable technology stacks without vendor lock-in.

Security & Compliance Sovereignty – Security operations, monitoring, and compliance fully under EU jurisdiction.

Environmental Sustainability – Energy-efficient, low-carbon, and resource-responsible cloud operations.

EU: SOVEREIGNTY EFFECTIVE ASSURANCE LEVELS

Sovereignty Effectiveness Assurance Levels	Sovereignty Effectiveness Assurance Levels Descriptions
SEAL-0	<i>No Sovereignty:</i> Service, technology or operations under exclusive control of non-EU third parties , governed entirely in non-EU jurisdictions .
SEAL-1	<i>Jurisdictional Sovereignty:</i> EU law formally applies with limited practical enforceability ; service, technology or operations under exclusive control of non-EU third parties.
SEAL-2	<i>Data Sovereignty:</i> EU law applicable and enforceable , with material non-EU dependencies remaining ; service, technology or operations under indirect control of non-EU third parties.
SEAL-3	<i>Digital Resilience:</i> EU law applicable and enforceable , EU actors exercising meaningful but not full influence ; service, technology or operations under marginal control of non-EU third parties.
SEAL-4	<i>Full Digital Sovereignty:</i> Technology and operations under complete EU control , subject only to EU law , with no critical non-EU dependencies .

What is Data Sovereignty?

Customers have full control over their own data

- 1 Customers control who can access their own data.
- 2 Customer data is managed in accordance with the laws and regulations of the jurisdiction in which it is located, including data residency when required.
- 3 Cloud operator is transparent about its cloud operations.

Microsoft Sovereign Cloud



Microsoft Sovereign Cloud

Sovereign Public Cloud

Microsoft owned and operated

Data stays in Europe,
under European law

Data Guardian: Operations and
access controlled by Europeans

Software-based Sovereign controls
for policy enforcement

Applies to existing Europe cloud
datacenter regions with no migration

Sovereign Private Cloud

Customer owned and operated

Azure Local + Microsoft 365 Local:
Integrated cloud and productivity

Hybrid or disconnected
at your location

Validated architecture based on on-
premises server products (e.g. Hyper-
V, Exchange, SharePoint, Skype for
Business) and partner ecosystem

Virtualization services

National Partner Clouds

Government-approved local owner
and operator independent from
Microsoft

For government and
critical infrastructure criteria

Clouds in Germany (Delos Cloud) and
France (Bleu) with fully isolated
infrastructure

Adhere to highest government
sovereignty standards (CPR in
Germany, SecNumCloud in France)

Microsoft Cloud for Sovereignty



Sovereign Controls

Protect workloads from outside access using advanced sovereignty and encryption controls such as confidential computing and Azure Managed HSMs.

Sovereign Guardrails & Guidance

Get access to landing zone configurations, policy, workload templates, and tooling to assist in creating compliant architectures and answer sovereign questions.

Compliance & Transparency

Ensure local compliance with policy packs for your region and increased transparency over—and into—your environment's operations.

Public Cloud Capabilities

Get the innovation, scale, and security of the public cloud, with capabilities significantly beyond private or on-prem datacenters.



Microsoft Cloud for Sovereignty



Azure Confidential Computing



Azure Confidential Computing

Existing Encryption

Data at rest

Encrypt inactive data when stored in blob storage, database, etc.

Data in transit

Encrypt data that is flowing between untrusted public or private networks

Confidential Computing

Data in use

Protect/encrypt data that is in use, while in RAM, and during computation

Protect against



Malicious
privileged admins or insiders



Hackers
exploiting bugs in the Hypervisor/OS



Third parties
accessing data without customer consent

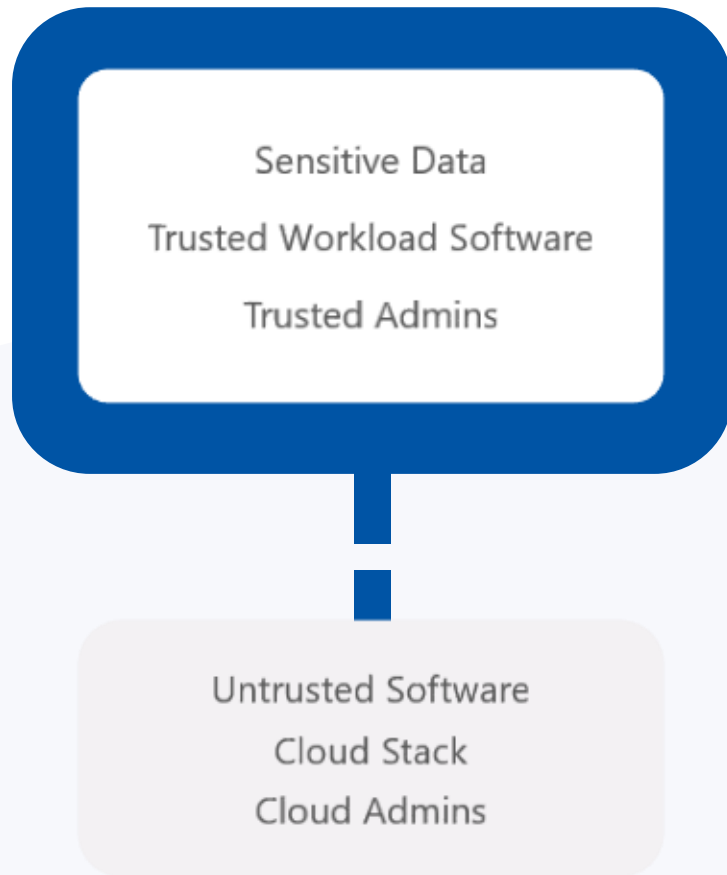


In Azure, confidential computing means...

A hardware root-of-trust, customer verifiable remote attestation, and memory encryption

Confidential Computing

Essential Functions



Trusted Execution Environment



Isolation



Encryption and Control



Verification

Attestation



Attestation is...

- Cryptographic confirmation of the state of a Confidential Computing environment
- Can be requested at any time by any stakeholder



Attestation Elements

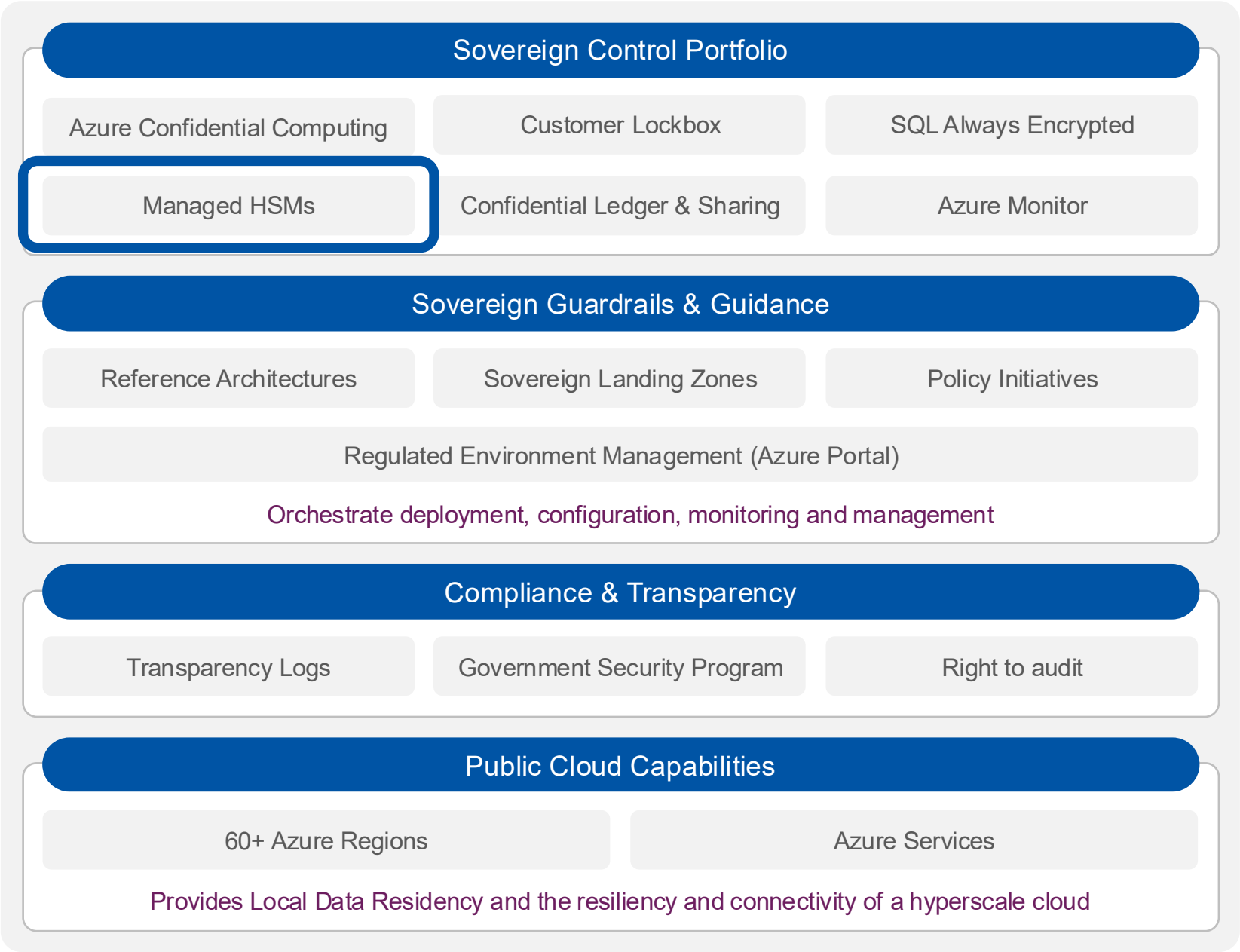
- ✓ TEE is instantiated on a genuine, enabled Intel processor
- ✓ Processor's microcode patch is updated within policy
- ✓ TEE launched using authenticated firmware
- ✓ Software in the TEE matches developer's certified manifest and customer policy

Confidential Computing on Azure

Services	 Confidential containers on Azure Red Hat OpenShift Public preview	 SQL always encrypted with secure enclaves Generally available	 Azure Virtual Desktop on confidential VMs Generally available	 Azure Data Explorer Public preview	 Azure Confidential Databricks Generally available	 Azure Database for PostgreSQL Generally available
	 Managed HSM Generally available	 Microsoft Azure Attestation Generally available	 Azure Confidential Ledger Generally available	 Azure Batch on confidential VMs Generally available	 Confidential inferencing with AOAI Whisper Preview	
Containers	 Intel SGX app enclave nodes on AKS Generally available	 Confidential VM AKS worker nodes Generally available	 Confidential containers on ACI Generally available	 Confidential containers on AKS Public preview		
Infrastructure	 DCasv5 & ECasv5 DCasv6 & ECasv6 AMD SEV-SNP CVMs Generally available	 DCesv5 & ECesv5 Intel TDX CVMs Public preview DCesv6 & ECesv6 In Development	 NCCH100v5 VMs NVIDIA GPUs Generally available	 Azure Integrated HSM In Development		



Microsoft Cloud for Sovereignty



Azure key management solutions



Azure key management solutions

	AKV Standard	AKV Premium	Azure Managed HSM	Azure Cloud HSM	Azure Payment HSM
What level of compliance do you need?	FIPS 140-2 level 1	FIPS 140-3 level 3, PCI DSS, PCI 3DS	FIPS 140-3 level 3, PCI DSS, PCI 3DS	FIPS 140-3 level 3, HIPAA, PCI DSS, PCI 3DS, eIDAS	FIPS 140-2 level 3, PCI HSM v3, PCI PTS HSM v3, PCI DSS, PCI 3DS, PCI PIN
Do you need key sovereignty ?	No	No	Yes	Yes	Yes
What kind of tenancy are you looking for?	Multitenant	Multitenant	Single Tenant	Single Tenant	Single Tenant
What are your use cases ?	Encryption at Rest, CMK, custom	Encryption at Rest, CMK, custom	Encryption at Rest, TLS Offload, CMK, custom	PKCS11, TLS Offload, code/document signing, custom	Payment PIN processes, custom
Do you want HSM hardware protection ?	No	Yes	Yes	Yes	Yes
What is your budget ?	\$	\$\$	\$\$\$	\$\$\$	\$\$\$\$
Root of trust control	Microsoft	Microsoft	Customer	Customer	Customer



Microsoft Cloud for Sovereignty



What is the Sovereign Landing Zone?



The Sovereign Landing Zone

- Enterprise-Scale Landing Zone
- Fully CAF compatible
- Configure security and data sovereignty



Deployment

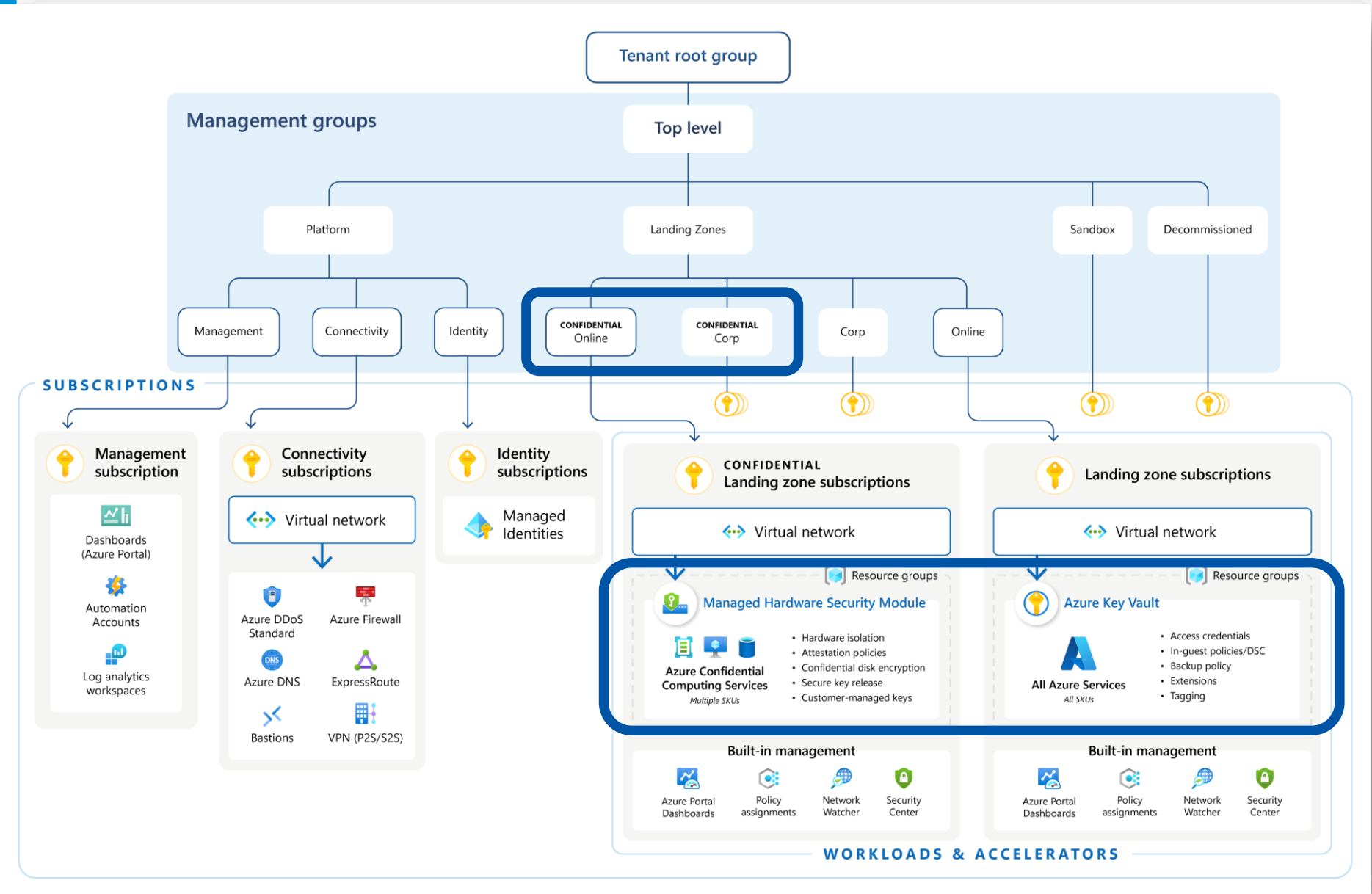
- SLZ reduces the setup time and effort
- Leveraging Infrastructure as Code and Policy as Code.



Enhanced Security and Regulatory Compliance

- Sovereignty Policy Baseline
- Azure Landing Zone's best practices
- Microsoft Cloud Security Benchmark
- Other organization or regulatory-specific policy.

SLZ
architecture
and workloads



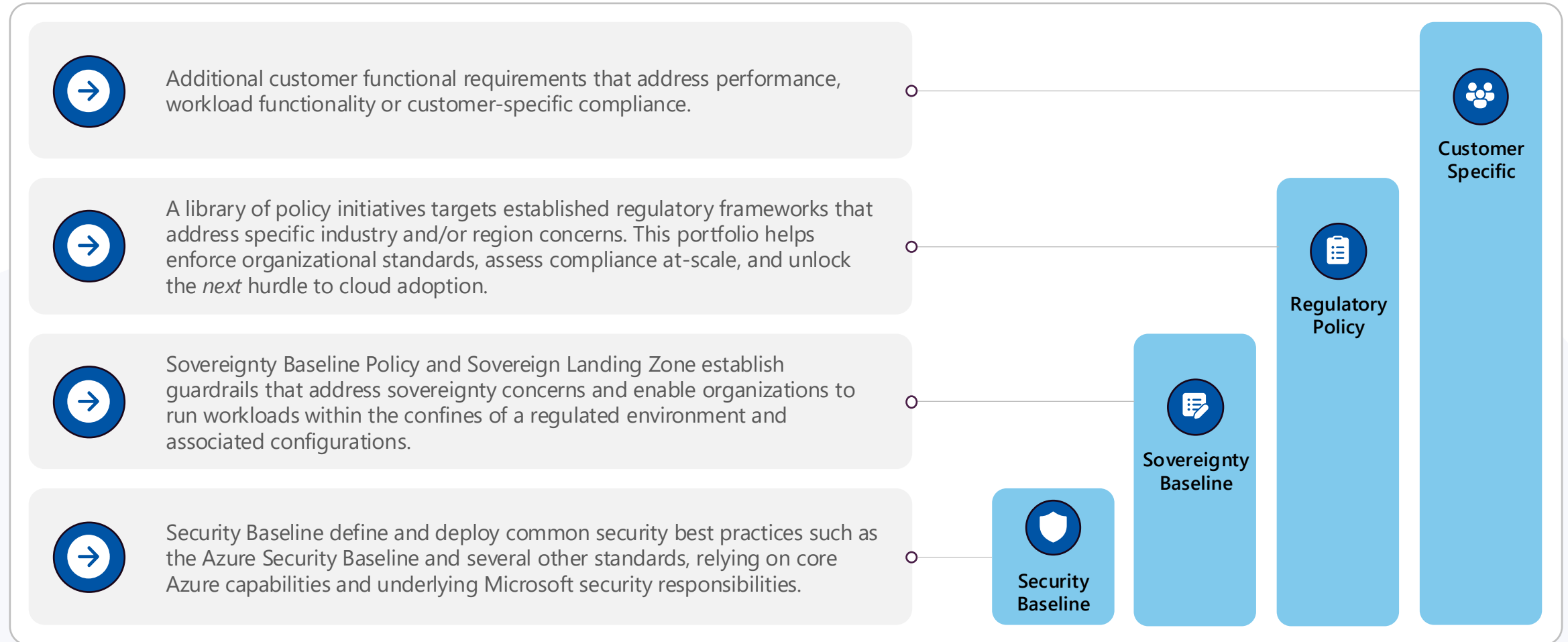


Microsoft Cloud for Sovereignty



Microsoft Cloud for Sovereignty | Policy Portfolio

The Policy Portfolio is a library of policy initiatives that help address established regulatory frameworks and specific industry and/or region concerns.





Microsoft Cloud for Sovereignty



Regulated Environment Management (REM) | Private Preview

1

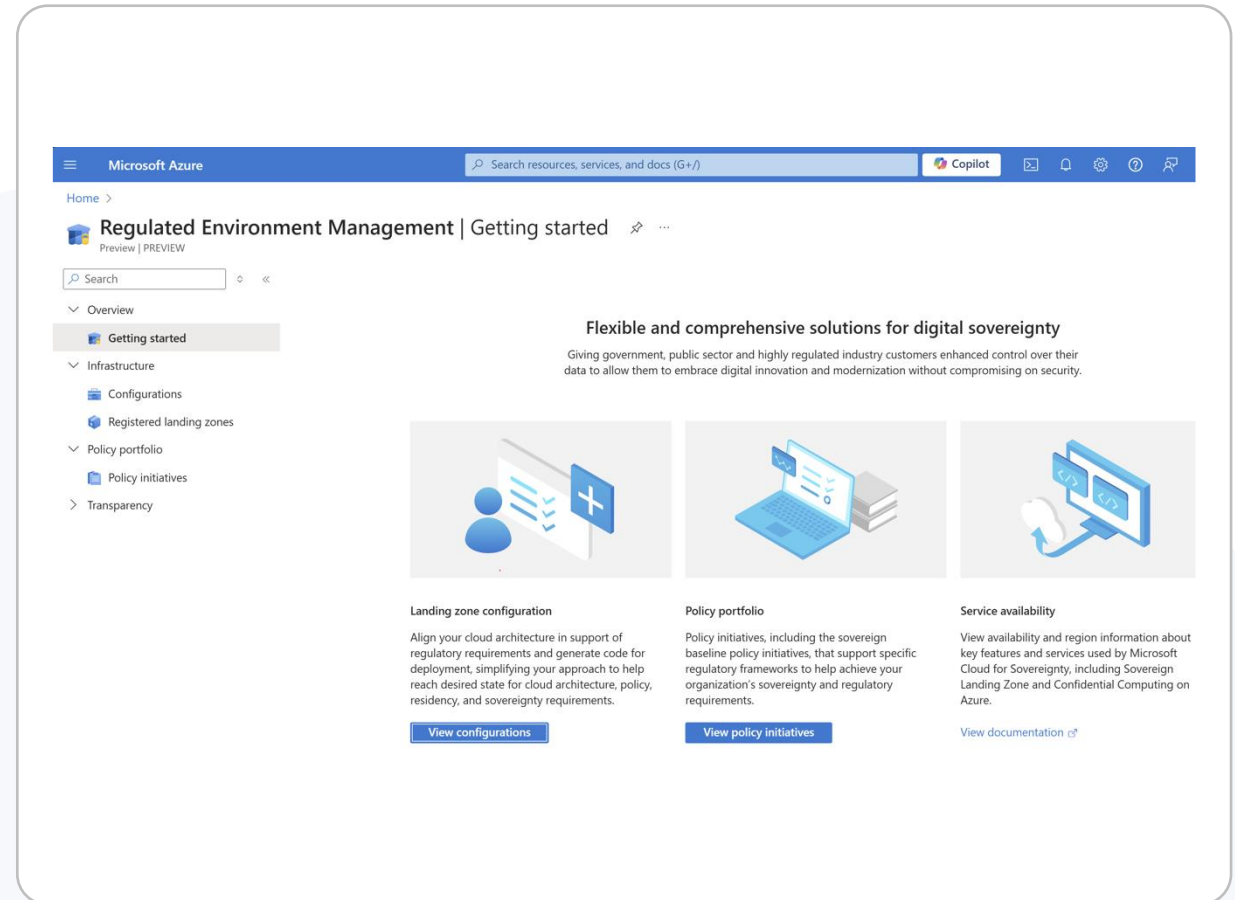
One place to see and learn about Microsoft Cloud for Sovereignty

2

Create landing zone configurations, assign policy, generate infrastructure as code, and deploy from the portal.

3

Policy portfolio page providing easy access to sovereign policy initiatives.



Regulated Environment Management (REM)

Drift Analysis and Assessment Tools

1

Assess “Sovereignty” of any Azure subscription: Assess an Azure environment (subscription) and receive recommendations for how to align with Cloud for Sovereignty guidance, including data residency.

2

Detect drift from a desired landing zone configuration: Comparing any deployed landing zone to a desired configuration, allowing the detection of policy and architectural drift from a desired state.

REM Drift Analysis

[Download CSV](#) [Create registration \(Preview feature\)](#)

Select a landing zone registration:

SpecialProj-environment

Select a landing zone configuration:

Select...

Select a management group:

Select...

Analyze

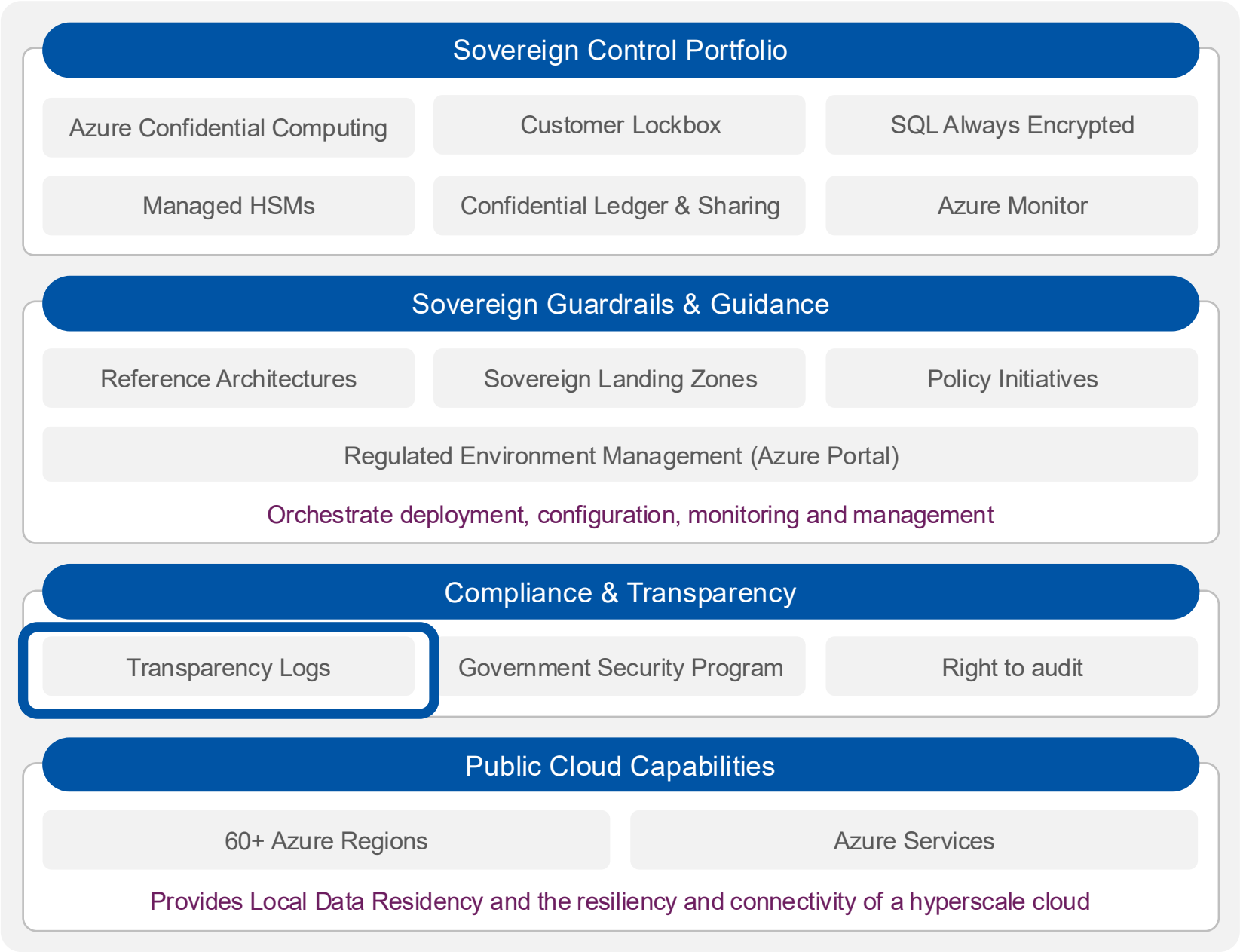
Refresh

Category	Severity ↑	Description	Finding
Allowed Locations	High	Added a location to allowed locations list	ukwest has been added as an allowed location for deployments
Allowed Locations	High	Added a location to allowed locations list	uksouth has been added as an allowed location for deployments
Allowed Locations	High	Added a location to allowed locations list	francecentral has been added as an allowed location for deployme...
Policy Initiatives Assign...	Medium	Policy Initiative(s) added	Policy initiative /providers/Microsoft.Management/managementGr...
Policy Initiatives Assign...	Medium	Policy Initiative(s) added	Policy initiative /providers/Microsoft.Authorization/policyDefinitio...
Policy Initiatives Assign...	Medium	Policy Initiative(s) added	Policy initiative /providers/Microsoft.Management/managementGr...
Policy Initiatives Assign...	Medium	Policy Initiative(s) added	Policy initiative /providers/Microsoft.Authorization/policyDefinitio...
Policy Initiatives Assign...	Medium	Policy Initiative(s) added	Policy initiative /providers/Microsoft.Authorization/policySetDefini...
Policy Initiatives Assign...	Medium	Policy Initiative(s) added	Policy initiative /providers/Microsoft.Authorization/policySetDefini...
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Policy Initiatives Assign...	Medium	Policy Initiative(s) added	Policy initiative /providers/Microsoft.Authorization/policySetDefini...
Policy Initiatives Assign...	Medium	Policy Initiative(s) added	Policy initiative /providers/Microsoft.Authorization/policySetDefini...

- Management Groups Added or Removed.
- Management Group Structure Changes.
- Policy Initiative Assignments Added or Removed.
- Allowed Locations Added or Removed. Log Retention Increased or Decreased



Microsoft Cloud for Sovereignty



What are Transparency logs?



Provides details in the case where Microsoft personnel had temporary access to a customer's Azure subscription to address an outage or support issue.



Provided as an email report every 30 days.



Available now to use in preview.

Example Transparency Log

Transparency logs monthly update

Delete

Report

Reply

Reply all

Forward

Chat

Zoom

Transparency logs monthly update

Translate message to: Svenska | Never translate from: Engelska

MA

Microsoft Azure

To: Transparency Logs development team

TransparencyLogs-2024-03-0...

1 KB

Tue 2024-03-05 16:38

Microsoft Azure

Transparency logs^{PREVIEW}

There were transparency logs^{PREVIEW} sessions for your Azure resources in the past 90 days, according to the report generated 2024-03-06 00:37:32 (UTC).

[View more details](#) about transparency logs^{PREVIEW}.

The table shows sessions that occurred during the past 90 days.

Session Date	Duration	Management Group ID	Management Group Name	Subscription ID	Engineer Role	Engineer Location	Service Name
2024-01-16 20:43:08 (UTC)	08:00:24	21d91d67-ea30-4e0c-9cc4-2259f38609c8	Root Management Group	b64a309f-f9cf-47fa-b67b-fb250063a4bf	Customer Support Engineer	United States	Azure Customer Support Tool
2024-02-07 09:17:43 (UTC)	08:00:12	21d91d67-ea30-4e0c-9cc4-2259f38609c8	Root Management Group	b64a309f-f9cf-47fa-b67b-fb250063a4bf	DevOps Engineer	United States	Azure Customer Support Tool



Microsoft Cloud for Sovereignty



Where does Azure stand?

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Questions?



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